Loss Solutions Group, LLC
Toll Free 866.899.8756
Fax 860.639.5158
www.LossSolutionsGroup.com

November 11, 2025

Mr. Eric Chudzinski
Travelers Insurance
PO Box 430
Buffalo, NY 14240-0430

RE:	Insured:	Bay Crane Service
	Claimant:	TP Mechanical
	Claim Number:	F2X2280
	LSG Matter Number:	787200.12584-00
	Date of Loss:	April 15, 2025

Dear Mr. Chudzinski,

Thank you for choosing Loss Solutions Group as your equipment loss consultant. This report provides an analysis of the above-referenced claim.

Assignment:

Loss Solutions Group was contacted by Mr. Eric Chudzinski of Travelers Insurance. The scope of this assignment is to evaluate the extent of damage, repair/replacement costs, and salvage value associated with the claimant's (TP Mechanical) Motivair brand MCDU-40 cooling distribution unit (CDU). The loss occurred due to a transit incident on April 15, 2025.

Findings and Analysis:

Loss Solutions Group contacted the insured, Ms. Lauren Newlin (Safety Compliance & Claims Manager at Bay Crane Service (267-462-4506)), to explain our role in the claim review. Ms. Newlin confirmed that Bay Crane Service operated the forklift that caused the damages. She indicated she had limited knowledge of the equipment specifications and damage assessment and referred Loss Solutions Group to the equipment vendor, Texas Air Systems, for official unit and damage assessment.

Loss Solutions Group contacted the claimant and general contractor, Mr. Brad Williams (Project Manager at TP Mechanical (859-905-7482)), to discuss the reported incident. Mr. Williams explained that TP Mechanical hired Bay Crane Service to perform rigging work for the installation of CDUs at a data center facility. He confirmed that Bay Crane Service's operators were handling the

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equipment when the damages occurred but indicated he had little information about the extent of damage or equipment specifications.

Loss Solutions Group contacted the division of Bay Crane Service whose operator reportedly caused the incident and spoke with Mr. Jon Grennell (Project Manager (614-753-5881). Mr. Grennell provided details about the incident and confirmed the circumstances described in Bay Crane Service's Forklift Incident Investigation Report. The Bay Crane Service Forklift Incident Investigation Report documents that on April 15, 2025, at approximately 8:00 AM, as an operator was unloading the CDU from a truck the rear wheel struck a pothole, causing the top-heavy unit to slide off the forks and fall onto its side.

Loss Solutions Group contacted the equipment vendor, Texas Air Systems (214-483-1717), and spoke with Ms. Reagan Guthrie regarding the damaged unit and damage assessment. Ms. Guthrie confirmed that Texas Air Systems sold the Motivair MCDU-40 unit to QTS (the equipment owner) for $108,200.00 on February 26, 2024, for installation at QTS's datacenter facility as part of critical cooling infrastructure. Following the incident, Texas Air Systems dispatched technicians to the site to assess the damage. Ms. Guthrie explained that the nature and extent of damages to the unit necessitated Texas Air Systems to consult with the OEM, Motivair, to obtain an official assessment of reparability. Motivair provided a document stating that the unit was non-reparable (explained below in more detail). After speaking with the manufacturer, Motivair, who provided the MSRP of $94,380.05 for an identical unit, we followed up with Ms. Guthrie to address the $13,819.95 price difference between the MSRP and their original sale price. She was unable to explain where the added costs came from. She stated that we should speak with the customer regarding their prices.

On October 24, 2025, Ms. Guthrie provided Loss Solutions Group with Motivair's official Damage Assessment Letter. Motivair identified multiple categories of damage rendering the unit unrepairable, indicating the structural integrity of the frame, heat exchanger, pumps, valves, and piping was destroyed. Motivair noted this is particularly critical given that this equipment serves in datacenters where structural integrity is essential for reliable operation. Motivair further indicated that all electrical components must be discarded per the supplier's drop-impact policy. In the Damage Assessment Letter, Motivair also noted that due to the damage sustained on impact, electrical and leak testing components were destroyed, and as a result, the unit can no longer be certified for safe operation. Based on these findings, Motivair concluded that complete replacement of the product is required to meet original specifications and quality standards.

A total replacement cost of $108,200.00 was presented.

Scope of Damage

Loss Solutions Group submits that the claimant's Motivair brand MCDU-40 CDU sustained extensive internal and external damage stemming from a reported transit incident on April 15, 2025.

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Age & Condition

The affected equipment was new and unused at the time of the claimed event.

Reparability

After reviewing the relevant documentation and photographs and consulting with the vendor, Loss Solutions Group concurs that the full replacement of the affected equipment is required to achieve a pre-loss condition.

Cost Analysis

Loss Solutions Group assessed the proposed costs by cross-referencing with alternative vendors, drawing on historical data for similar repairs, evaluating comparable equipment pricing, and consulting directly with the involved vendor to verify reasonableness. Below is a breakdown of the associated costs.

TEXAS AIR SYSTEMS (214-483-1717) INVOICE WITH SHIP DATE FEBRUARY 26, 2024 AND A TOTAL OF $108,200.00

Loss Solutions Group reviewed the invoice totaling $108,200.00 for one (1) Motivair brand MCDU-40 CDU. Loss Solutions Group cross-checked with the OEM, Motivair, and found that the MSRP for a like-for-like CDU unit would cost $94,380.05. Loss Solutions Group submits that the OEM cost presented is fair and reasonable to restore the claimant to pre-loss condition.

Note: A difference was noted between the claim cost and Loss Solutions Group's researched cost, totaling $13,819.95. The difference is attributed to added costs from the vendor above MSRP that the vendor was unable to substantiate.

Alternate Vendor Contacts

Further research to establish valuation utilizing third-party vendors is discussed below.

Motivair by Schneider Electric (716-691-9222 ext. 361)

Loss Solutions Group spoke with Mr. Nicholas Haddad (Sales Manager, IT & Electronics Cooling at Motivair), who supplied the MSRP for an identical CDU in the amount of $94,380.05. Loss Solutions Group submits that the $94,380.05 is consistent with industry standards and deems this price to be fair and reasonable to return the claimant to a pre-loss state.

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RCV

Loss Solutions Group submits an amount of $94,380.05 (RCV) as fair and reasonable to return the claimant to a pre-loss condition. A further breakdown of the pricing is available in the attached spreadsheet.

ACV

Loss Solutions Group has not completed an Actual Cash Value (ACV) analysis for the claimed event, as the equipment was in new and unused condition.

Salvage

Loss Solutions Group submits that there is little to no salvage value associated with this claimed event.

Summary:

Loss Solutions Group's findings described herein are based upon all information available at the time of this writing. Loss Solutions Group's findings are based on available information, reviewed documentation, interviews, research, experience, historical references, training, and education.

1. The insured, Bay Crane Service, reported damage to a Motivair brand MCDU-40 CDU stemming from a transit incident. A total cost of $108,200.00 was presented.

2. The affected equipment was new and unused at the time of the claimed event.

3. After reviewing the relevant documentation and photographs and consulting with the vendor, Loss Solutions Group concurs that the full replacement of the affected equipment is required to achieve a pre-loss condition.

4. Loss Solutions Group submits an amount of $94,380.05 (RCV) as fair and reasonable to return the claimant to pre-loss condition. A further breakdown of the pricing is available in the attached spreadsheet.

    a. A difference was noted between the claim cost and Loss Solutions Group’s researched cost, totaling $13,819.95. The difference is attributed to added costs from the vendor above MSRP that the vendor was unable to substantiate.

5. Loss Solutions Group has not completed an ACV analysis for the claimed event, as the equipment was in new and unused condition.

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6. Loss Solutions Group submits that there is little to no salvage value associated with this claimed event.

If you have any questions or if you need any additional information, please feel free to contact Tanner Beuret at (866) 899-8756 ext. 755, or via email at tbeuret@losssolutionsgroup.com. Team Leader Nick Ramos can be reached at (866) 899-8756 ext. 724, or via email at nramos@losssolutionsgroup.com.

Best regards,

Tanner Beuret
Technical Consultant
Loss Solutions Group, LLC

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INSURED: BAY CRANE SERVICE
CLAIMANT: TP MECHANICAL
LSG MATTER #: 787200.12584-00
CLAIM #: F2X2280
DATE OF LOSS: 4/15/2025
CAUSE OF LOSS: TRANSIT

COLOR DENOTES PRICING DISCREPANCY

TEXAS AIR SYSTEMS (214-483-1717) INVOICE WITH SHIP DATE 02/26/2024 AND A TOTAL OF $108,200.00

REF #	ITEM	CLAIM PRESENTED			LSG RESEARCHED RCV			AGE (YEARS)	USEFUL LIFE (YEARS)	CONDITION	NOTES
		QTY	UNIT COST	TOTAL	QTY	UNIT COST	TOTAL				
1	QTY (1) MCDU-40	1	$ 108,200.00	$ 108,200.00	1	$ 94,380.05	$ 94,380.05	0	20	NEW / UNUSED	MOTIVAIR BRAND COOLING DISTRIBUTION UNIT (CDU) ONE (1) MDCU-40. SN: MCDU-40-2024-0675333 (MOTIVAIR PROVIDED US WITH THE MSRP = $94,380.05)
SUB-TOTAL				**$ 108,200.00**			**$ 94,380.05**				
SALES TAX				$ -			$ -				
TOTAL				**$ 108,200.00**			**$ 94,380.05**				

TOTAL PRESENTED	**$ 108,200.00**

TOTAL RESEARCHED RCV	**$ 94,380.05**

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INVOICE

Invoice	
Date	
Page	1

Texas Air Systems
6029 Campus Circle Drive W.
Suite 100
Irving, TX 75063
Phone: **(972) 570-4700**
Fax: **(972) 570-4207**

Bill to:

QTS PROCUREMENT, LLC
accountspayable@qtsdatacenters.com
12851 FOSTER ST STE 201
OVERLAND PARK KS 66213

Ship to:

QTS Motivair 2023
2750 Sullivan Rd

Atlanta GA 30337

Purchase order No.	Customer ID	Salesperson ID	Shipping method	Payment terms	Ship date	Job number
	QTS001	DJH	Best Service	N30	02/26/2024	

Description	Ext. Price
QTY (1) MCDU-40	$108,200.00

We Appreciate Your Business!

Subtotal	$108,200.00
Misc	0.00
Tax	0.00
Freight	0.00

BCMW #	NA
MODEL #	NA
SERIAL #	NA
SIZE	TON
TYPE	Lull

Forklift Incident Investigation Report

Use pen to fill out report in full. Attach additional sheets as needed.

Time & Place	Date of Accident: **4/15/2025**	Hour: **8:00** a.m. p.m.	Location of Accident (Street, City, State) **1275 Beech Rd New Albany Ohio 43054**
Machine Owner	Owner's Name: **TP Mechanical Contractors**		Owner's Address (Street, City, State)
Machine User	User's Name: **BCMW**	Rented: ____ O&M / Bare Rent	User's Address: **2299 Performance Way Columbus, Ohio 43207**
Dealer	Dealer's Name:		Dealer's Address:

Description of Incident

Full description of Inciident (Describe in detail what happened and how it happened and all factors which contributed to the accident)

Operator was unloading unit from the truck being spotted by a front person and rear, the operator after lifting the unit from the truck lowered it to approximatly 1 foot from the ground, as he backed up and began to turn the lift the rear wheel hit a pothole that was in the road causing the top heavy unit to slide off the forks and fall on its side (The operator tried to save it by lowering but it was to late)

Weight of Load	Description of Load:
1,000	**CVU**

Describe in detail how load was being transported (i.e. against mast, on pallet, shrink wrapped, etc.):

Unit was fully on the forks and against the mask (There were no straps being used)

Attachment being used?	If yes what type?	Was load centered?
____ YES / **x** NO,	_____	**x** YES / ____ NO

Ground Conditions

Describe Ground Conditions (Paved, Hard Packed, Gravel, Soft Ground, Wet, Etc.)	Was Ground Level ?
Paved road	**x** YES ____ NO

Weather

Describe Weather **Clear**

People you talked to during Investigation

Name	Occupation	Address (Street, City, State, Zip)	Phone No.
Chris Rainer	**Operator**	**2299 Performance Way Columbus Ohio 43207**	
Name	Occupation	Address (Street, City, State, Zip)	Phone No.
Name	Occupation	Address (Street, City, State, Zip)	Phone No.

(1) Name of Person Injured	Age	( ) Married / ( ) Single
Address (Street, City, State)	Zip Code	Phone No.
Nature and Extent of Injuries.		

This document is an attorney document subject to attorney/client privacy rights.

Injured Persons and Injuries

(2) Name of Person Injured.	Age	( ) Married ( ) Single
Address (Street, City, State)	Zip Code	Phone No.
Nature and Extent of Injuries		

(3) Name of Person Injured.	Age	( ) Married ( ) Single
Address (Street, City, State)	Zip Code	Phone No.
Nature and Extent of Injuries.		

Damage to Property

Name of Owner.	Address (Street, City, State)	Zip Code
Kind of Property		
Nature of Damage		Estimated Cost of Repair.

Damage to Equipment

Nature of Damage			
	Internal and external damage (See attached pictures)		
Operator's Name **Chris Rainer**	Address (Street, City, State, Zip) **2299 Performance Way Columbus Ohio 43207**	Phone No.	Employed By: **BCMW**
Where was the Operator at the time of the Accident (Specify in Seat, Feet on brake Pedals, Which Controls being Operated, Etc.)			
	In the seat operating the forklift		

Spotter

Spotter's Name **Unknown**	Address (Street, City, State, Zip)	Phone No.	Employed By:
Where was the Spotter at the Time of Accident?			

Witnesses

Name	Occupation	Address (Street, City, State, Zip)	Phone No.
Name	Occupation	Address (Street, City, State, Zip)	Phone No.
Name	Occupation	Address (Street, City, State, Zip)	Phone No.
Name	Occupation	Address (Street, City, State, Zip)	Phone No.

Condition of Machine

Did Machine Work Properly Prior to Accident? **X** YES ___ NO, Explain.

Did Machine Work Properly After the Accident? **X** YES ___ NO, Explain.

Does User have Care and Operation Manual? **X** YES ___ NO | Does User have Safe Operation Procedure Catalog **X** YES ___ NO

Name of Person or Firm Who Maintained the Machine.
TP Mechanical

Hour Meter Reading. _____

Have Noticeable Modifications Been made to Machine? **X** NO ___ YES, Explain.

Did Any Other Persons Investigate This Accident? ___ YES **X** NO

__ Police ___ City Safety Inspector ___ Sate Safety Inspector ___ OSHA ___ Insurance Company ___ Other

Investigation by Others

Name	Address	Representing	Telephone No.
Name	Address	Representing	Telephone No.

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ADDITIONAL SPACE FOR REMARKS AND DIAGRAMS

VERY IMPORTANT

1. **REFRAIN FROM VOICING YOUR OPINION AS TO THE CAUSE OF ACCIDENT.**
2. **Do not discuss claim with anyone.**
3. **Attach photographs of machine and accident scene.**
4. **Attach diagram of accident scene.**
5. **Refer all papers & correspondence to main office at once.**
6. **Report must be signed and dated.**

Date Inspected.	Date of this Report.	Print your Name	Signature
4/15/2025	**4/18/2025**	**Dave McLaughlin**	

Reported To (Name)	On (Date)	Your Employers Name.
Jon Grennell	**4/15/2025**	**Chris Rainer**
Operation Manager (Signature) **Jim Albert**	On (Date) **4/15/2025**	
Area VP (Signature) **Brian Gibson**	On (Date) **4/15/2025**	
Safety Department (Signature) **Dave McLaughlin**	On (Date) **4/18/2025**	

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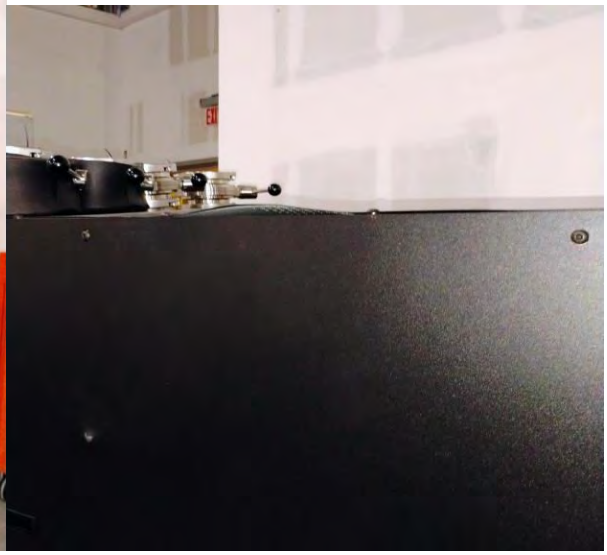
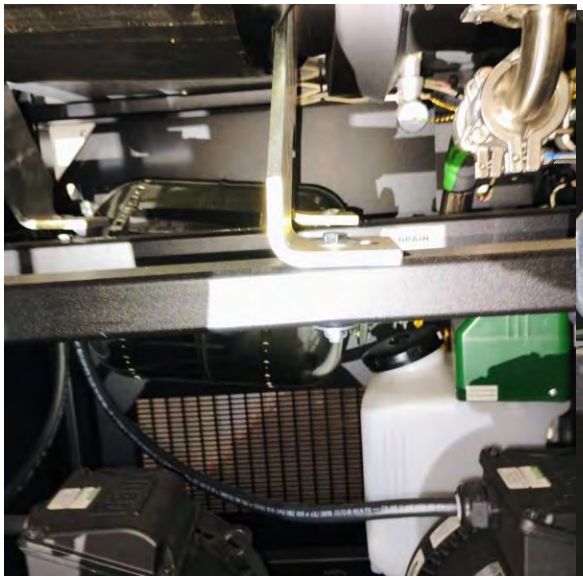
MCDU-40-2024-067533

CDU sustained major damage when it was dropped from a forklift onto its left side. The incident took place on-site at NAL1-DC1 in New Albany Ohio.

CDU shows extensive internal and external damage. The Belimo Actuator Valve punched a heavy indent on the left side of the cabinet and the top panel also buckled upon impact. Support brackets for the Heat Exchanger are bent on the left side and broken off completely on the right side of the unit. The Primary and Secondary Source / Return pipes are also bent and shifted out of place along with connected internal piping.





Subject: Notification of Product Replacement Due to Shipping Damage
To: Texas Air Systems
Date: 24OCT2025

Dear Reagan,

We are writing to formally communicate the shipping damage reported for the MCDU-40. Upon inspection and review of the attached documentation and photographs by our professional services team, it has been determined that the extent of the damage renders the product non-repairable and unsuitable for use.

Product Serial Number: MCDU-40-2024-0675333

The following damage was identified and is considered unrepairable:

- Structural integrity of the frame, heat exchanger, pumps, valves and piping has been destroyed for this critical datacenter infrastructure product
- All electrical components would have to be discarded per supplier drop-impact policy
- Integrity of all electrical and leak testing is lost with the sustained impact damage
- Irreparable cosmetic damage to panels and doors has occurred

As a result, a **complete replacement** of the product is required to meet the original specifications and quality standards.

Please let us know if you have any questions or require further assistance.

Sincerely,
Kurt Schriewer
Customer Satisfaction and Quality Director
618-477-7994

Attached: Professional services inspection report and assessment conducted by Motivair

RE: [Case #009848] Looking for MSRP for MCDU-40 [326530]

Summarize

NH

Nicholas Haddad <NHaddad@motivaircorp.com>

Yesterday at 2:32 PM

To: Tanner Beuret; Carrie Breuer

Hi Tanner – current MSRP on these units:

Part Number	Description	MSRP
MCDU-40-6-60	Coolant Distribution Unit, 15HP, 600kW , 240GPM, 460V/3PH/60HZ	$94,380.05

FYI – the suffix, "2024-0675333", is that specific unit's serial number.

Best,

Nicholas Haddad | Sales Manager – IT & Electronics Cooling
Motivair by Schneider Electric
5900 Genesee St. | Lancaster | NY | 14086
(716) 691-9222 x 361 (Office) | (585) 406-6079 (Mobile)
nhaddad@motivaircorp.com
https://www.motivaircorp.com/

From: Tanner Beuret <tbeuret@losssolutionsgroup.com>
Sent: Friday, October 31, 2025 3:03 PM
To: Carrie Breuer <CBreuer@motivaircorp.com>
Cc: Nicholas Haddad <NHaddad@motivaircorp.com>
Subject: Re: [Case #009848] Looking for MSRP for MCDU-40 [326530]

Thanks for the help. Yes looking for MSRP

On Oct 31, 2025, at 1:39 PM, Carrie Breuer <CBreuer@motivaircorp.com> wrote:

Apologies, Tanner. I mistakenly addressed this to Bob.

From: Carrie Breuer
Sent: Friday, October 31, 2025 2:35 PM
To: Service Case <servicecase@motivaircorp.com>
Cc: Nicholas Haddad <nhaddad@motivaircorp.com>
Subject: RE: [Case #009848] Looking for MSRP for MCDU-40 [326530]

Nick

Home About Blog Contact FAQs Shop

Home / Motivair 4 CDU BOTTOM FEED 15HP 600KW 460V/3PH/60HZ NCNR MCDU-40-6-60

Motivair 4 CDU BOTTOM FEED 15HP 600KW 460V/3PH/60HZ NCNR MCDU-40-6-60

$90,142.00 & Free Shipping

4 CDU BOTTOM FEED 15HP 600KW 460V/3PH/60HZ NCNR

1 ADD TO CART

Buy with G Pay

SKU: MCDU-40-6-60 Tag: MCDU-40-6-60-Motivair

Hi! How can we help?

I have a question

Tell me more

Description Reviews (0)

4 CDU BOTTOM FEED 15HP 600KW 460V/3PH/60HZ NCNR